

In many cases the following formula will be found to furnish a short cut to the answer:

Book Value per share of common

$$= \frac{\text{Common Stock} + \text{Surplus Items} - \text{Intangibles}}{\text{Number of shares outstanding}}$$

By Surplus Items are meant not only items clearly marked as surplus but also premiums on capital stock and such reserves as are really part of the surplus. This would include, for example, reserves for preferred-stock retirement, for plant improvement, and for contingencies (unless known to be actually needed). Reserves of this character may be termed "Voluntary Reserves."

Calculation of Book Value of United States Steel Common on December 31, 1938
Condensed Balance Sheet December 31, 1938 (In millions)

Assets		Liabilities	
1. Property Investment Account		7. Common Stock	\$653
(less depreciation)	\$1,166	8. Preferred Stock	360
2. Mining Royalties	9	9. Subsidiary Stocks Publicly Held	5
3. Deferred Charges*	4	10. Bonded Debt	232
4. Miscellaneous Investments ..	19	11. Mining Royalty Notes	12
5. Miscellaneous Other Assets ..	3	12. Current Liabilities	79
6. Current Assets	510	13. Contingency and Other Reserves	39
		14. Insurance Reserves	46
		15. Capital Surplus	38
		16. Earned Surplus	247
	\$1,711		\$1,711
Tangible assets			\$1,711,000,000
Less: All liabilities ahead of common (Sum of items 8-12) . .			688,000,000
Net assets for common stock			\$1,023,000,000
Book value per share (on 8,700,000 shares).			\$117.59

* Considerable argument could be staged over the question whether Deferred Charges are intangible or tangible assets, but as the amount involved is almost always small, the matter has no practical importance. It is more convenient, of course, to include the Deferred Charges with the other assets.

The alternative method of computation, which is usually shorter than the foregoing, is as follows: